2. **The Balance of Payments councils consists of**
   (a) Current Account
   (b) Capital Account
   (c) Receipts and Payments Account
   (d) Both Current Account and Capital Account

3. **Foreign capital long- term loan and foreign currency reserve are recorded under**
   (a) Official Capital
   (b) Private Capital
   (c) Banking Capital
   (d) Both Private and Official Capital



4. **The term official capital includes**
   (a) RBI holdings of foreign currencies
   (b) Special Drawing Rights held by the Government
   (c) Both A and B
   (d) Foreign Investment

5. **Balance of payments surplus indicates**
   (a) Exports are more than the Imports
   (b) Imports are more than Exports
   (c) Exports and Imports are at Equilibrium
   (d) Exports and Imports are above Equilibrium

Answer

1. (a) 2. (d) 3. (b) 4. (c) 5. (a)

II. Very Short Answer Questions

1. What do you mean by Balance of Payments?
2. What do you mean by Balance of Trade?

III. Short Answer Questions

1. What are the credit items shown in current accounts? (any 3)
2. State the components of Capital account.

IV. Long Answer Questions

1. Write any five features of Balance of Payments.
2. Distinguish between balance of payment and balance of trade. (any 5)

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